



Build *a* Better Retirement Together

What does retirement
mean to you?



Bill Badran

Before you hand in your notice.

A few years before retirement, an account statement starts to look different. The number at the bottom may be the largest you've ever had. Soon you may have to live on it.

You start doing sums over breakfast: the mortgage, a trip, helping the children. Perhaps you and your partner keep having the same conversation without getting much further.

I would begin with what you want to do. Leaving work can mean a slower morning, time with someone you love, or a chance to do something while your health allows it. Those are reasons to take the numbers seriously.

Claire and Marc are invented, but their decisions may sound familiar. Their story shows how spending, pensions and tax affect one another.

Use the worksheets and your own figures to estimate spending and list what you need to check before choosing a date.

If we meet, bring your notes. A question mark beside a number tells me where we need to start.

Bill

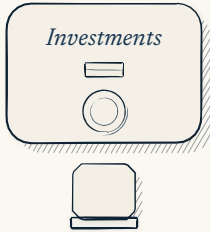
Where to begin.

The book follows the decisions in order. If one is urgent, go straight to it. The blank pages are for rough working; you can come back to them.

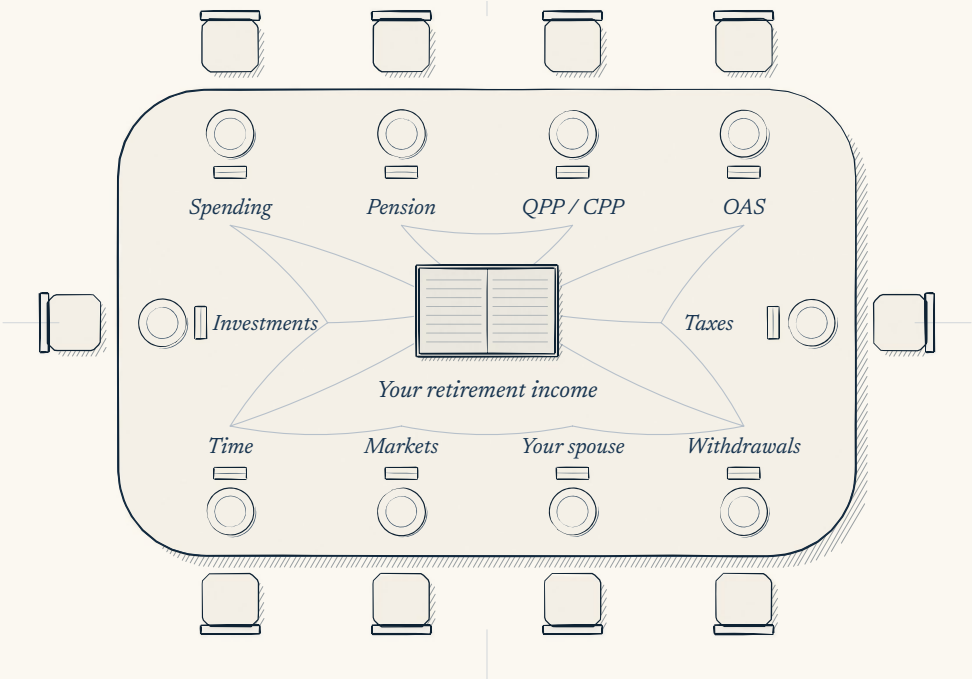
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Claire and Marc are fictional. They are not clients or a testimonial. All figures are examples in Canadian dollars. Use your own records when filling in the worksheets.

More than an investment decision.



While you're earning a salary, you may judge your investments mainly by how much they've grown.



Once you retire, a withdrawal can affect your tax bill and benefits. That changes how much is left to spend. These decisions belong together.



Claire has a date in mind. Marc has the statements.

They sit down to talk about retirement. Before long,
they're disagreeing about money.

Their story continues on the next page.

Two years sounds close enough.

Claire is 62, Marc is 60, and they have been saying 'in two years' for a while. Claire means it. She wants to visit family in the autumn without counting the days until she has to come home.

Marc has brought the account statements. Their savings are spread across registered retirement savings plans (RRSPs), tax-free savings accounts (TFSAs) and other accounts. Some withdrawals will be taxed. He doesn't yet know how much they can spend.

'What if we waited another year?' he asks.

Claire has heard this before. To her, another year means another year at work. To Marc, it means a little more time before they start spending what they have saved.

They haven't yet worked out what retirement would cost. Nor have they checked when each pension could begin. They agree to do that before discussing another year.

They also write down a second possibility: Claire leaves as planned, and Marc works part-time for a while. He would consider it. She hadn't realised that.

YOUR TURN

A Tuesday in March.

Think beyond the first holiday. Picture a weekday two years after leaving work. If you have a partner, each write your answers before comparing them.

How would I spend the morning?

Who would I see during the week?

What part of working life would I miss?

What do I want to do while I am still able?

If you live alone, include the company and practical help you would want nearby. Neither has to be left to chance.

The bills you expect. The ones you forget.

Find a full year of bank and credit-card records. A month can miss the property tax, the insurance renewal and the holiday you paid for in February.

Begin with the life you already lead

Keep housing, food and other regular bills. Subtract costs that will stop with work; add the things you expect to do more often. Include dinners out and hobbies if you intend to keep them. Don't write a budget you would hate living on.

Then look beyond the monthly bills

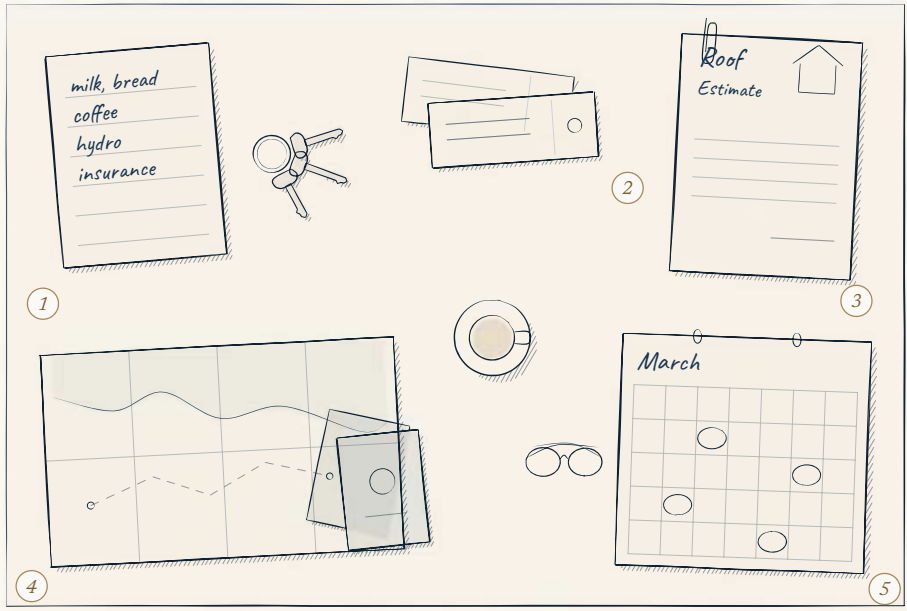
The car will eventually need replacing. So may the roof. Give each foreseeable large expense an amount and a year. Saving an allowance each year can help, but a repair due next spring needs money next spring.

Allow the years to be different

Claire wants more travel at the beginning. Later, either of them may need help at home. Separate those periods. Repeating this year's spending for thirty years would miss both changes.

Figures in the examples are in today's dollars: what the money would buy now. A full projection must allow for inflation and calculate the tax on the income used to pay the bills.

Give the occasional costs a place, too.



1 Regular bills: housing, food, transport, insurance.

2 Everyday pleasures: meals out, hobbies, gifts.

3 Big purchases: a car, a roof, a renovation.

4 The early years: extra trips and other plans.

5 Later care: help at home or a move.

Which of these costs has no money set aside yet? Mark it before filling in your own figures on page 11.

They arrive at \$72,000.

Claire and Marc go through their records. This is their first estimate of what they want to spend each year, **after income tax**.

ANNUAL SPENDING	AMOUNT
Home, food, transport, insurance and utilities	\$42,000
Meals out, hobbies, gifts and other pleasures	\$12,000
Allowance for repairs and occasional large costs	\$12,000
Extra travel during the first five years	\$6,000
Total for the early years	\$72,000

The average is \$6,000 a month, though they won't spend it evenly. They need to check whether the \$12,000 allowance will be there when the car or roof needs attention.

After five years, they expect the extra travel to end. That leaves \$66,000 a year in today's dollars. They have yet to price a later period of care.

Fictional spending estimate. The allowance is part of the \$72,000, not extra money held outside it. A large purchase already covered by that allowance should not be counted twice.

What would your year cost?

Use annual amounts at today's prices. Put a question mark beside anything you need to check.

SPENDING	PER YEAR
Regular household bills	
Things I want to keep doing	
Allowance for repairs and large purchases	
Extra spending in the first years	
Total I need after tax	
A large purchase coming up: amount and year	
Spending I could postpone if I had to:	

If the purchase above is already covered by your annual allowance, mark it as included. Otherwise, add it as a separate expense in the year it is due.

When will each payment start?

Your salary has an end date. Your other income sources have start dates, and they may leave several years for your savings to cover.

An employer pension

Request estimates for the retirement dates you are considering. Ask whether payments rise with inflation, whether a temporary bridge payment ends at a certain age, and what a surviving partner would receive.

Public pensions

Get your own estimates for the Québec Pension Plan (QPP) or Canada Pension Plan (CPP). Check your eligibility for Old Age Security (OAS). The maximum quoted in a newspaper isn't necessarily what you will receive. [1-3]

Work or other income

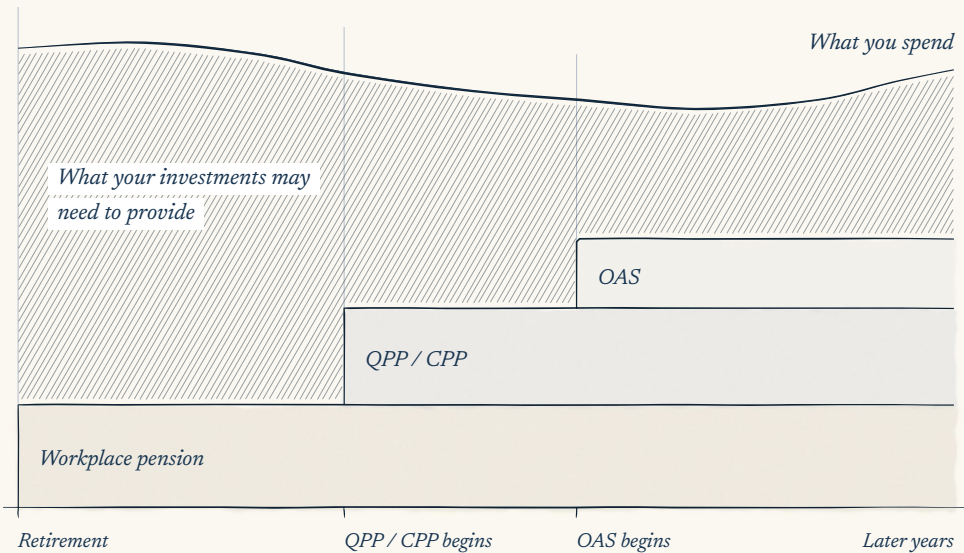
If you intend to work part-time, put the hours and expected pay on paper. For a rental property, subtract expenses and allow for repairs and vacancies. Use income left after tax when comparing it with your spending.

Record who receives each payment, its starting date and what could change it.

QPP estimates: Retraite Québec's My Account. CPP estimates: My Service Canada Account. Your employer's pension administrator can explain that plan's options. [1, 2]

What your savings have to cover.

Read the drawing from left to right. As other income begins, less may need to come from savings. The space below the spending line is the amount still to find.



Check the first years carefully. A pension that begins at 65 won't pay a bill when you are 62.

The drawing shows a possible pattern, not amounts or recommended pension dates. Each household has different sources and starting dates.

The first years ask more of their savings.

They plan to leave work at 64 and 62. For this example, assume each starts public pensions at 65. Claire's employer pension begins when she retires.

RETIREMENT YEAR / AGES	SPEND	PENSIONS	GAP
Year 1: 64 / 62	\$72,000	\$24,000	\$48,000
Year 4: 67 / 65	\$72,000	\$48,000	\$24,000
Year 6: 69 / 67	\$66,000	\$48,000	\$18,000

In year 1, savings must supply **\$48,000 they can spend**. An RRSP withdrawal of \$48,000 may leave too little once income tax is paid.

Claire's public pensions start before Marc's. By year 4, both receive them. In year 6, the extra travel ends. Years 2 and 3 still need their own calculations.

Claire's age is shown first. Amounts are illustrative, after tax and in today's dollars. Ages simplify full-year timing. Pension amounts and net income are assumptions; tax must be recalculated on all income together. Starting at 65 is not a recommendation.

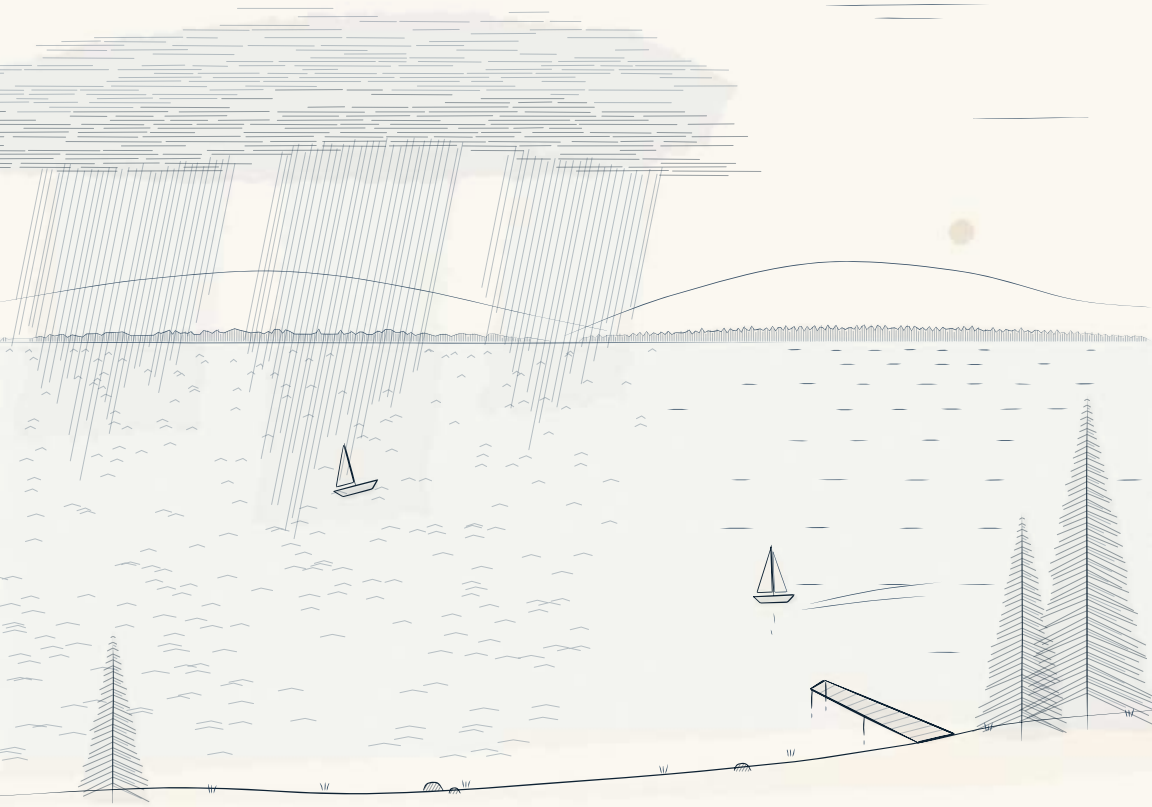
Leaving work does not start every pension.

You can leave work and use savings while waiting for a pension. Whether that is worthwhile depends partly on what it costs you to wait.

PROGRAM	STARTING AGE
Québec Pension Plan (QPP)	Available from 60. The normal age is 65; waiting can increase the payment up to age 72. [1]
Canada Pension Plan (CPP)	Available from 60 to 70, with 65 as the standard age. Starting earlier reduces payments; waiting increases them. [2]
Old Age Security (OAS)	For those eligible, available from 65 to 70. Waiting increases payments. Higher income can require some or all of OAS to be repaid. [3, 4]

Compare the income received over time, the savings used while waiting, and the tax in each year. Include health and how long the money may be needed. A larger monthly pension isn't the whole calculation.

The Guaranteed Income Supplement (GIS) requires special attention: you cannot receive it while deferring OAS. Check eligibility before deciding to wait. [3]



A market fall feels different after retirement.

The account is down, and you still need this month's money. Selling now can leave fewer investments to recover later.

The money has another job now.

The old job

Savings, while you work

Duties

Grow.

Schedule

Before planned withdrawals.

In a bad year

Salary may cover the bills.
New savings may continue.

The new job

Savings, from retirement on

Duties

- Pay you an income, month after month
- Stay invested enough to keep growing
- Handle withdrawals without forced sales at the wrong time
- Absorb market declines
- Keep up with rising prices
- Pay for the big projects, often early
- Look after a spouse, possibly for longer
- Work alongside a pension, QPP or CPP and OAS
- Last for a lifetime whose length no one knows

Schedule

From the first withdrawal onward.

In a bad year

It still has to pay you.

Decide how the portfolio will pay you before the first withdrawal.

Which investments pay next year's bills?

For Claire and Marc, the answer has to cover the early \$48,000 gap after tax. Some of their savings may also need to support them thirty years from now.

The next few withdrawals

Money needed soon should be available when it is due. Cash and suitable investments with smaller price swings can help. Holding more of them has a cost: less opportunity for growth, and the risk that rising prices eat away at buying power.

The years further off

Longer-term investments have time to grow, but they can fall in value. The amount held for those years must fit both the withdrawals you expect and the losses you could withstand.

After the reserve has been spent

Ask when and how it would be refilled. If the answer is 'sell investments,' ask which ones, and what would happen after a market fall. A cash reserve postpones that decision; it doesn't make it disappear.

Have the next twelve months of withdrawals written out, including any tax. You should be able to see where each payment comes from.

Some money leaves soon. Some stays for decades.



Mark your car replacement, pension starts and other known dates along this path. Use the dates when deciding what to hold for each period.

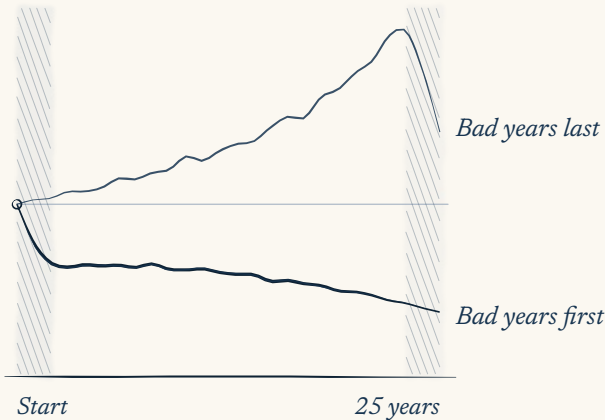
The order of returns.

Both drawings use the same invented annual returns in reverse order. Adding or removing money changes the result.

During the saving years



During the withdrawal years



These original drawings are schematic, with no fees or taxes. The two-year example opposite uses separate figures so you can follow the arithmetic.

A \$4,000 difference in two years.

Take \$100,000 and withdraw \$10,000 at the **start** of each year. Compare a 20% loss followed by a 20% gain with the same returns in the opposite order.

	LOSS FIRST	GAIN FIRST
Year 1	$(\$100,000 - \$10,000) \times 0.80$ \$72,000	$(\$100,000 - \$10,000) \times 1.20$ \$108,000
Year 2	$(\$72,000 - \$10,000) \times 1.20$ \$74,400	$(\$108,000 - \$10,000) \times 0.80$ \$78,400

Each account pays out \$20,000. The account with the loss first ends with \$4,000 less. Its second withdrawal leaves a smaller amount to benefit from the recovery.

Leave the money untouched, and both accounts would finish at \$96,000. The withdrawals are what make the order matter here. The financial term is **sequence-of-returns risk**.

You can't choose the order the market delivers. You can decide in advance which money to spend and which expenses could wait.

No fees, tax or inflation are included. The \$10,000 withdrawal is deliberately large to make the effect visible. It is not a recommended annual withdrawal amount.

Write down what you would do.

Imagine a sharp fall just after you retire. Work through these questions with your advisor while you have time to think.

Which money would pay for the next twelve months?

What could I postpone, and how much would that save?

What would we check before selling investments?

Whom would I call before making a large change?

Written on: _____ Next review: _____

What would you change?

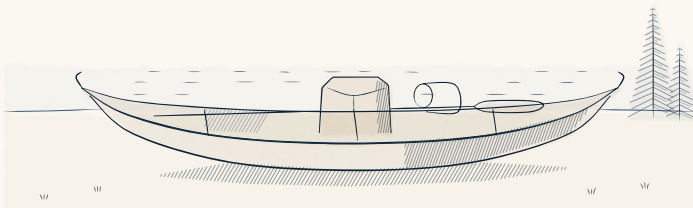
A forecast can be made to look better by assuming higher investment returns. That doesn't give you more money to spend. Ask to see what happens if the returns disappoint.

Claire and Marc could remove the extra \$6,000 of travel. Their first-year gap would fall from \$48,000 to \$42,000. But Claire wants those trips. Cutting them would mean giving up part of the reason she wants to retire.

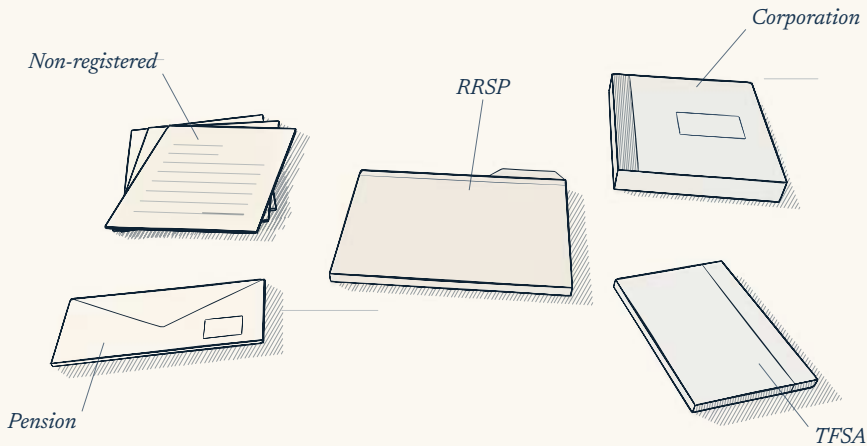
They can also compare a later date, Marc's part-time work or lower everyday spending. A housing change belongs in the comparison only if they would actually consider moving.

For each version, look at a weak start in markets, higher living costs and a life lasting to 95. Ask what you would have to change, and when. Keep the changes specific enough to discuss at home.

If the answer requires spending cuts you wouldn't make, ask for another version.



Which account will you use?



Two accounts can hold the same investment and produce different tax bills when you withdraw. Check the account as well as what is inside it.



Follow the money from an account to the amount available to spend. Tax and benefits can change along the way.

How much reaches your bank account?

RRSPs and retirement income funds

RRSP withdrawals generally count as taxable income. By the end of the year you turn 71, an RRSP must mature. Options include a registered retirement income fund (RRIF), an annuity or a taxable withdrawal. A RRIF has minimum payments beginning the year after it is opened. [5, 6]

Tax-free savings accounts

TFSA withdrawals are generally tax-free. They do not affect federal income-tested benefits such as OAS or GIS. You get the withdrawn amount back as contribution room the next calendar year. To put it back sooner, you need enough unused room already available. [7, 8]

Accounts outside registered plans

Interest, dividends and capital gains have different tax treatment. Selling an investment and withdrawing the proceeds doesn't necessarily make the whole withdrawal taxable. Find out which part is income or a gain. [9]

Business assets, rental property and an estate can involve additional rules. Have the relevant tax and legal professionals review those decisions.

The extra \$20,000.

Their daughter could use help with a down payment. Claire and Marc would like to give her \$20,000 in their first year of retirement.

It isn't in the \$72,000 budget. Add the gift, and that year's spending becomes \$92,000. With the assumed \$24,000 pension, their savings would have to provide **\$68,000 after tax**, instead of \$48,000.

Claire suggests her RRSP. A withdrawal is taxable, so she may have to take out more than \$20,000 to give the full amount. Marc suggests a TFSA withdrawal, which would generally be tax-free. That would leave less tax-free money for later.

They need to compare the total tax, benefits and remaining savings under both choices. The account with the easiest withdrawal isn't automatically the best one to use.

They leave the gift unpromised until they have checked it. If \$20,000 won't fit, they can consider a smaller amount or a later date before their daughter relies on it.

Fictional example. It does not establish that the gift or either withdrawal is affordable. Account rules: [5-9].

What does 1% cost you?

On \$500,000, a 1% annual charge is \$5,000 at that account value. Ask what you receive for that money.

Have the full cost written down: the investments, advice, trading and account charges. Some compensation comes out of fund fees. Check what is included before adding the figures, so you don't count a charge twice. [10]

Over twenty-five years

Suppose \$100,000 earns a steady 5% a year before costs. Subtract annual costs of 1% or 2%, leaving growth of 4% or 3% in this simplified calculation.

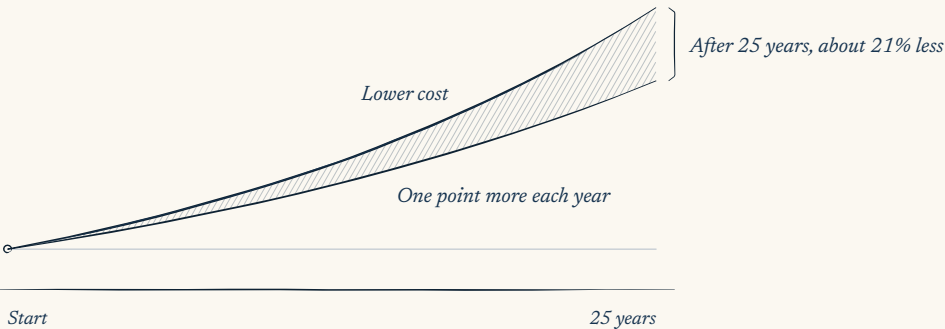
ANNUAL COST	VALUE AFTER 25 YEARS
1%: net growth of 4%	\$266,584
2%: net growth of 3%	\$209,378

The extra percentage point costs about **\$57,206** over the period, including the growth that money would have earned. A higher price needs an explanation you can evaluate.

Constant returns and annual compounding are assumed, with no tax, deposits or withdrawals. Values are rounded. This is an illustration, not a forecast or Bill's fee schedule.

The money paid in fees cannot keep growing.

Follow the widening space between the lines. Each year's charges also remove money that could have earned returns in later years.



The higher-cost account ends with about **21% less** in the example on page 27.

Keep that difference in mind when you compare the services on the next page.

Original schematic drawing. The calculation uses 5% annual returns before costs, charges of 1% or 2%, and no tax or money entering or leaving. It does not show Bill's fees.

Ask to see the work you are paying for.

Managing investments may be only part of what you need. Have the advisor describe the work included in the fee.

- ☐ Will I receive a written retirement income plan, and what will it show?
- ☐ Who will calculate the pension dates and withdrawals we are comparing?
- ☐ Which tax questions will you handle with my accountant?
- ☐ When will we meet again? What happens if my circumstances change sooner?
- ☐ How are you and your firm paid? What is my total cost in dollars?
- ☐ What would I pay to change investments or leave?

A retirement projection should help Claire and Marc decide between actual dates and spending choices. If they leave a meeting with only a risk questionnaire and a list of funds, that question remains unanswered.

These questions apply when meeting Bill or any other advisor. Background on investment fees: [10].

Could you still stay in the house?

Imagine that stairs become difficult. You might pay for help, adapt the house or move. Each choice has a different cost, and some take time to arrange.

Price a situation that matters to you. If staying at home is the preference, investigate what regular help would cost. If moving is the backup, allow for selling expenses, the move and the next home before counting money released from the sale.

When family needs help

A parent may need care. An adult child may need money for longer than expected. Write down any support you already provide and discuss how long you could continue it. An occasional transfer can quietly become another monthly bill.

Money available when it is needed

A house can be valuable without paying next week's expense. Check how you would cover urgent costs while a sale or another longer-term decision was being arranged.

Choose one plausible event and work out the cost. Then decide where the money would come from.

One income can stop. Many bills will carry on.

The grocery bill may shrink after a partner dies. The property tax usually won't. Work out the surviving partner's expenses rather than dividing the household budget in half.

Check which pension payments continue, at what amount, and how the taxes change. Review ownership and beneficiary arrangements with the appropriate professionals. The survivor should know what to expect.

Do the practical work together

- ☐ Keep an account list and a record of where important documents are stored.
- ☐ Make sure both partners know the advisor, accountant and notary or lawyer to call.
- ☐ Review wills and the legal arrangements for someone to act if you become unable to.
- ☐ Calculate income and spending for each partner surviving the other.

If you live alone, choose whom you would want to help with money during an illness. Arrange the proper authority in advance; handing over a password doesn't provide it.

A smaller first-year gap.

Suppose part-time work adds \$18,000 to their household income after all tax effects. Their first-year gap falls from \$48,000 to **\$30,000**. They keep the extra travel.

The gift would raise the gap to \$50,000. They decide to postpone it. Marc will ask his employer about part-time hours and take-home pay.

Can their savings cover the smaller gap until public pensions begin, and the withdrawals needed afterward? They want that calculation before either gives notice.

Claire keeps the autumn free. She doesn't book the tickets yet.



What to do with the next few weeks.

Collect the records

Find pension estimates, account statements, debts and a year's spending. Write the retirement date you would like beside any date you have to meet. An employer deadline can decide which work comes first.

Have the years calculated

Put income and spending on a timeline. Include tax, large purchases and the years before public pensions start. Compare the option you prefer with a second one you could accept.

Check what could change the decision

Ask for weaker markets, higher costs, a longer life and each partner surviving the other. Agree which spending would change if the money fell short. Be specific about the amounts.

Set the first review date

Decide who will check withdrawals, spending and tax after retirement. Set a regular review and agree what warrants an earlier call, such as a move, a major gift or a change in health.

If a decision is close, begin with its deadline. You can collect the rest of the paperwork while the most urgent question is being answered.

CHECK YOUR FIGURES

Which answers still need checking?

Mark each line **K** for known, **E** for estimated or **M** for missing.
Use a recent statement or calculation where one is available.

INFORMATION	K / E / M
Regular annual spending	
Large purchases and their dates	
Pension estimates and starting dates	
Withdrawals needed in the first years	
Tax due on those withdrawals	
Investments that will fund the next year	
Changes we would make after a market fall	
Income if either partner dies first	

Choose the uncertain figure most likely to change your retirement date. Write it on the next page.

An estimate is enough for an early conversation. Before acting on it, check whether a better figure would change the decision.

What I want to work through.

The date I would like to stop or reduce work:

What I want time for:

My / our estimated yearly spending, after tax:

The number or decision I need help with:

A deadline I need to meet:

Name: _____ Date: _____



You can begin with
one unfinished question.

“Could I leave a year earlier?”

“What can we give our daughter?”

“How much can I spend this year?”

Editorial illustration of a meeting with fictional readers, not actual clients.

Let's look at your numbers.

I'm a financial planner in Laval. My work includes retirement planning, investment advice and helping clients put their plans into practice as their circumstances change.

Bring the notes from page 35 and any statements you have gathered. We can discuss the decision you face and identify the calculations still needed.

Before agreeing to further work, ask what you would receive, what it would cost and who would handle each part. Have those terms confirmed in writing.

Arrange a conversation

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Where to check the rules.

References checked September 29, 2026. In the digital edition, select a title to open it. With a printed copy, search for the title on the organisation's website.

[1] Retraite Québec

At what age should you apply for your retirement pension?

[2] Service Canada

CPP retirement pension: When to start your pension

[3] Service Canada

Old Age Security: When to start your retirement pension

[4] Service Canada

Old Age Security pension recovery tax

[5] Canada Revenue Agency

Withdrawing from your own RRSPs

[6] Canada Revenue Agency

Options for your own RRSPs

Companion reference: Minimum amount from a RRIF

About this edition.

[7] Canada Revenue Agency

What is a TFSA

[8] Canada Revenue Agency

Withdrawing from a TFSA

[9] Canada Revenue Agency

Line 12100 - Interest and other investment income

Companion reference: Line 12700 - Taxable capital gains

[10] Canadian Securities Administrators

Types of Fees

This book explains retirement decisions in general terms. It does not give individual financial, investment, tax or legal advice, or recommend a product or portfolio. Before acting, check the current rules and how they apply to you.

Claire and Marc are invented, and their figures are teaching examples. The examples leave out the factors noted beside them; they do not prove the couple can retire. Illustrations use AI-assisted editorial artwork.

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Bill must approve the opening letter and meeting description. His registration category and the required firm disclosure must be completed and reviewed by the firm.



What have you been putting off?

Write it down.
Let's see what it would take.

Bill Badran

514 357-2666 / billbadran.com

Build a Better Retirement Together